PRAIRIE LANTERN BANK, N.A.

Commercial Credit Memorandum

Brazos Bend Fabrication, LLC

Borrower	Brazos Bend Fabrication, LLC (Texas LLC, est. 2004)
Guarantors	Daniel Reyes (60%) and Angela Brooks (40%), unlimited personal guaranties
Request	$2,800,000 equipment term loan (new) and RLOC increase from $1,000,000 to $1,500,000
New money	$3,300,000
Total relationship exposure	$6,140,000
Proposed risk rating	4, Satisfactory (composite score 4.15)
Recommendation	APPROVE, subject to the covenants and conditions in Section 11
Prepared by	Matthew Dial, Commercial Credit Analyst
Date	October 23, 2026

Portfolio work sample. The borrower, guarantors, bank, and every figure in this memo are fictional. Supporting calculations are in Credit_Analysis_Model.xlsx.

1. Executive Summary

Brazos Bend Fabrication is a 22-year-old structural and custom metal fabricator serving midstream energy, commercial construction, and industrial OEM customers across the Gulf Coast. The company requests a $2.8MM term loan to purchase a fiber laser cutting system and two CNC press brakes ($3.5MM total cost), and an increase in its revolving line of credit to $1.5MM to support working capital as volume grows.

The new equipment brings laser cutting in-house. Brazos Bend currently outsources this work, which adds cost and lead time. Management estimates a 2.0% gross margin benefit; this analysis haircuts that to 1.5%.

Credit highlights:

- Revenue grew from $14.2MM to $17.6MM over FY2023 to FY2025 (11.3% CAGR), with gross margin improving from 26.0% to 27.2% and EBITDA rising to $2.31MM (13.1% margin).
- Historical pro forma DSCR is 1.31x on FY2025 actual cash flow, above the 1.25x policy minimum, leaving $382K of excess cash flow. Projected Year 1 DSCR improves to 1.81x once in-sourcing savings are realized.
- Global DSCR, including guarantor income and personal debt, is 1.40x against a 1.20x minimum.
- Pro forma funded debt to EBITDA is 2.35x, well inside the 3.0x covenant. Collateral coverage on total exposure is 1.13x.
- The key risk is operating leverage. Coverage falls to 1.05x if revenue drops 10%, and breakeven (1.00x) is a 12.0% revenue decline. This is mitigated by a distribution restriction covenant, strong backlog, guarantor liquidity, and the company's track record (largest historical revenue decline was 9% in 2020).

2. Loan Request and Structure

Term	Facility A: Equipment Term Loan	Facility B: Revolving Line of Credit
Amount	$2,800,000	$1,500,000 (from $1,000,000)
Purpose	Purchase fiber laser and two CNC press brakes	Working capital (receivables and inventory)
Rate	7.25% fixed	Term SOFR + 2.75%, floating
Term / amortization	84 months, fully amortizing	12 months, renewable annually

Term	Facility A: Equipment Term Loan	Facility B: Revolving Line of Credit
Payment	$42,603 monthly principal and interest	Interest only, monthly
Advance rate	80% of equipment cost	80% eligible A/R plus 50% eligible inventory (inventory capped at $600K)
Collateral	First-priority PMSI on new equipment; blanket lien on all business assets	Blanket lien on all business assets
Guaranty	Unlimited personal guaranties from both owners	Same

Sources and uses

Sources	Amount	Uses	Amount
Equipment term loan	$2,800,000	Fiber laser cutting system	$2,150,000
Company cash	$300,000	CNC press brakes (2)	$1,180,000
Guarantor contribution (Reyes)	$400,000	Installation, rigging, training	$170,000
Total sources	**$3,500,000**	**Total uses**	**$3,500,000**

Borrower equity of $700,000 (20% of cost) is verified: company cash on the FYE 2025 balance sheet and the guarantor contribution on a September 2026 brokerage statement.

3. Borrower and Management

Brazos Bend was founded in 2004 by Daniel Reyes, a certified welding inspector with prior experience at a large Houston fabricator. Angela Brooks joined in 2011 as controller and became COO and a 40% owner in 2018. The company operates from a 48,000 square foot leased facility with 68 employees, about 80% of whom are shop floor staff.

Revenue mix in FY2025 was 40% commercial construction (structural steel and miscellaneous metals), 35% midstream energy (pipe supports, skids, platforms), and 25% industrial OEM components. The largest customer accounted for 14% of revenue and the top five for 46%. Backlog at September 30, 2026 was $7.9MM, roughly five months of production.

The relationship began in 2019. The existing term loan and line have been handled as agreed with no covenant waivers, and the company has delivered CPA-reviewed statements on time every year.

4. Financial Analysis

($ in thousands, FYE Dec 31)	FY2023	FY2024	FY2025
Revenue	$14,200	$15,900	$17,600
Revenue growth	n/a	12.0%	10.7%
Gross margin	26.0%	26.5%	27.2%
EBITDA	$1,562	$1,904	$2,307
EBITDA margin	11.0%	12.0%	13.1%
Net income (pre-tax, pass-through)	$722	$1,028	$1,415
Distributions	$400	$480	$700
Current ratio	1.55x	1.56x	1.57x
Days sales outstanding	45.0	45.5	46.7
Cash conversion cycle (days)	60.3	58.3	59.8
Debt to worth	1.61x	1.28x	0.98x
Funded debt / EBITDA	2.27x	1.63x	1.14x

($ in thousands, FYE Dec 31)	FY2023	FY2024	FY2025
Traditional DSCR	1.58x	1.89x	2.15x

Income statement. Growth has been steady and broad based. Gross margin expanded 120 bps over two years as the company passed higher steel costs through to customers on a job-by-job basis rather than carrying fixed-price exposure. SG&A grew more slowly than revenue, producing operating leverage on the way up. That same leverage is the main downside risk (Section 9).

Balance sheet. Members' equity grew from $3.0MM to $4.3MM, and debt to worth improved from 1.61x to 0.98x as the company retained about half of its earnings. Liquidity is adequate with a 1.57x current ratio, $1.68MM of working capital, and $720K of current line availability. The equity roll-forward and derived cash flow tie to the reported statements with no unexplained variances.

Working capital. DSO has crept up from 45.0 to 46.7 days as construction customers stretch payments. This is a watch item but not yet a concern: over-90-day receivables are 6.0% of the total, and inventory and payables days are stable. The line increase gives room to absorb slower collections.

5. Repayment Capacity

Debt service coverage	Amount
FY2025 net income	$1,415,200
+ Depreciation and amortization	$690,000
+ Interest expense	$214,000
- Distributions	($700,000)
Cash flow available for debt service	**$1,619,200**
Existing term debt P&I	$665,000
New equipment term loan P&I	$511,230
RLOC interest ($900K average usage)	$60,750
Total pro forma debt service	**$1,236,980**
Historical pro forma DSCR	**1.31x**
Excess cash flow	$382,220
Projected Year 1 DSCR	**1.81x**

Distributions are deducted because the owners rely on them to pay taxes on K-1 income. Historical pro forma coverage of 1.31x clears policy with a modest cushion and does not credit any benefit from the new equipment.

The projected Year 1 case assumes 6% revenue growth (below the 11.3% three-year CAGR and supported by backlog), a 1.5% gross margin improvement from in-sourcing, flat officer compensation, 4% SG&A growth, and distributions at 45% of net income. Under those assumptions EBITDA rises to $2.79MM and DSCR to 1.81x. Primary repayment comes from operating cash flow; secondary sources are collateral and the guarantors.

6. Global Cash Flow and Guarantors

	D. Reyes	A. Brooks	Combined
W-2 compensation	$260,000	$200,000	$460,000
K-1 distributions	$420,000	$280,000	$700,000
Other income (rental NOI)	$54,000	$0	$54,000
Personal income taxes	($372,198)	($229,824)	($602,022)
Living expenses	($150,000)	($110,000)	($260,000)

	D. Reyes	A. Brooks	Combined
Personal cash available	$211,802	$140,176	$351,978
Personal debt service	$116,000	$57,000	$173,000
Post-closing liquidity	$240,000	$310,000	$550,000
Adjusted net worth	$4,100,000	$1,900,000	$6,000,000

Personal taxes are applied to K-1 taxable income rather than cash distributed, which is the more conservative treatment. Combining business cash flow after distributions ($1.62MM) with personal cash available ($352K) gives global cash of $1.97MM against $1.41MM of combined business and personal debt service, for a global DSCR of 1.40x.

Post-closing liquidity of $550K covers about 45% of one year of business debt service. Neither guarantor has contingent liabilities. Both guaranties are unlimited.

7. Collateral

Collateral	Book / cost	Advance	Lendable value
Accounts receivable	$2,250,000	80%	$1,800,000
Inventory	$1,640,000	50%	$820,000
Existing equipment (net book)	$3,770,000	50%	$1,885,000
New equipment (cost)	$3,500,000	70%	$2,450,000
Total lendable value			**$6,955,000**
Total relationship exposure			$6,140,000
Collateral coverage			**1.13x**

The new equipment is a first-priority purchase money lien, and fiber lasers from major manufacturers have an active resale market. The borrowing base supports $2.26MM against the $1.5MM commitment, so the line is not constrained by collateral at current levels.

8. Industry and Market

Demand for Gulf Coast fabricators tracks commercial construction and energy capital spending, both cyclical. Recent conditions are supportive: in August 2026 the Dallas Fed's Texas manufacturing general business activity index rose to 11.6, its highest reading since January 2025, with new orders and future outlook indexes also improving.

Input costs are the main industry pressure. Section 232 tariffs on steel and aluminum remain at up to 50%, and U.S. steel prices reached a four-year high in October 2026. Fabricators that can pass costs through hold margin; those on fixed-price contracts get squeezed. Brazos Bend quotes most jobs with steel price escalation clauses and holds about 47 days of inventory, which limits exposure. See Industry_Risk_Brief.md for the full analysis and sources.

9. Stress Testing

Scenario	Stressed CFADS	DSCR	Result
Base case	$1,619,200	1.31x	Pass
Revenue down 10%	$1,300,558	1.05x	Watch
Revenue down 20%	$981,916	0.79x	Fail
Gross margin down 200 bps	$1,441,310	1.17x	Watch
Rates up 200 bps	$1,628,103	1.30x	Pass
Combined: revenue -10%, margin -100 bps, rates	$1,229,411	0.98x	Fail

Scenario	Stressed CFADS	DSCR	Result
+200 bps			

About 36 cents of every lost revenue dollar falls through to EBITDA because a meaningful share of labor and overhead is fixed. Distributions are assumed to fall with net income since they are mostly tax distributions. The company can absorb a 12.0% revenue decline before coverage drops below 1.00x, and a 2.3% decline before it breaches the 1.25x covenant.

Interest rate risk is limited because the new term loan is fixed. The thin cushion against the covenant is the reason for the distribution restriction below, which preserves cash in a downturn instead of paying it out.

10. Strengths, Risks, and Mitigants

Risk	Mitigant
Thin pro forma covenant cushion (1.31x vs 1.25x)	Distribution restriction if DSCR falls below 1.35x; projected Year 1 DSCR of 1.81x; $382K excess cash flow
Operating leverage; 12% revenue decline breaks even	Five months of backlog; diversified end markets; worst historical decline was 9% (2020); guarantor liquidity of $550K
Steel price volatility and tariffs	Escalation clauses on most quotes; job-by-job pricing; stable 47-day inventory
DSO trending up	Monthly borrowing base reporting; over-90 receivables excluded; increased line capacity
In-sourcing savings may not materialize	Approval does not depend on them: historical pro forma DSCR passes with zero benefit
Customer concentration (top 5 = 46%)	Largest customer is 14%; ten-plus year relationships with top three

Strengths:

- Consistent growth and margin expansion over three years
- Conservative balance sheet trend: debt to worth improved from 1.61x to 0.98x
- Experienced owners with meaningful cash equity in the deal (20%)
- Satisfactory payment history since 2019 with timely financial reporting

11. Covenants and Conditions

- Minimum DSCR of 1.25x, tested annually on CPA-reviewed statements.
- Maximum funded debt to EBITDA of 3.0x, tested annually.
- Distributions limited to tax distributions if trailing DSCR falls below 1.35x.
- Annual CPA-reviewed statements within 120 days of fiscal year end; compliance certificate with each.
- Monthly borrowing base certificate and A/R aging within 20 days of month end while the line has a balance.
- Annual personal financial statements and tax returns from both guarantors.
- Prior to closing: verification of $700K equity injection, vendor invoices for all equipment, and UCC search confirming lien priority.

12. Risk Rating

Factor	Metric	Score	Weight
Repayment capacity	1.31x pro forma DSCR	5	30%
Leverage	2.35x funded debt / EBITDA	4	15%
Liquidity	1.57x current ratio	4	10%

Factor	Metric	Score	Weight
Management	Qualitative	3	15%
Industry	Qualitative	5	10%
Collateral	1.13x coverage	4	10%
Guarantor support	Qualitative	3	10%
Composite		**4.15**	**100%**

The composite score rounds to a 4 (Satisfactory) on the bank's 9-point scale. Repayment capacity carries the most weight and is the weakest factor; the rating would move to 5 if pro forma DSCR fell below 1.25x.

13. Recommendation

I recommend approval of the $2.8MM equipment term loan and the RLOC increase to $1.5MM, with a risk rating of 4. The request is supported by a three-year record of growth and improving leverage, adequate historical coverage that does not rely on projected savings, solid collateral, and two guarantors with real liquidity. The main risk, operating leverage in a cyclical industry, is addressed through the distribution restriction and borrowing base reporting.

Prepared by	Reviewed by	Approved by
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Date: 10/23/2026	Date:	Date: